has to meet. The PLI is a break from past schemes when incentives were paid without being linked to outcome.

An analysis by Kotak Institutional Securities shows that the sectors likely to benefit are those that have large India-based companies, a proven record of production capability, a large domestic market and a relatively lower requirement for technology transfers. Sectors such as automobiles and components, food processing, mobile phones and pharmaceuticals fall under these categories. Of these, auto is already a strong sector in terms of growth, scale and exports, as are pharma and cellphones, which have a proven scale-up potential. But sectors such as telecom infrastructure equipment, solar PVs and advanced chemistry cells will need to demonstrate results first—to ascertain if the scheme is a success. Investors are closely monitoring the implementation of the scheme.

PUSH TO ELECTRONICS

In the case of smartphone manufacturers, the incentive is based on three policy objectives. These include the minimum price of the phone, annual investment targets and an increasing scale of production. The scheme offers graded incentives in the form of cashback at 6 per cent of incremental sales of goods for each of the first two years, 5 per cent for the third and fourth years and 4 per cent for the fifth year. Alongside, India will levy additional duties on incremental imports of certain products. For instance, a 10 per cent safeguard duty on single-mode optical fibre is aimed at encouraging domestic production.

According to industry sources, so far only one smartphone company—Dixon Technologies—has received Rs 50 crore as incentive. According to reports, an empowered group of officials has reviewed claims submitted by the manufacturers. Samsung, which has invested over a billion dollars in India over the past 25 years and in 2020 relocated its mobile and IT display production unit from China to Noida at an investment of Rs 4,825 crore, has sub-

THE PLI UNIVERSE

WITH A Rs 1.97 LAKH CRORE OUTLAY, THE PRODUCTION-LINKED INCENTIVE SCHEME IS BIG ON AMBITION. TRACKING ITS PROGRESS IN A FEW KEY SEGMENTS

PHARMA

Key starting materials, drug intermediates, active pharmaceutical ingredients, manufacturing of medical devices

Outlay: ₹6,940 cr (for bulk drugs)

₹15,000 cr (for pharmaceuticals manufacturing)

Status: 55 applicants approved

Duration: FY23-FY28

The offer: Incentive of 3-10% on the basis of product registrations, new plants, machinery, equipment, transfer of technology agreements

ELECTRONIC SYSTEMS

Large-scale electronics manufacturing

Outlay: ₹40,951 cr (For large-scale electronics manufacturing)

₹7,325 cr (For IT hardware)

Status: 32 beneficiaries approved in large-scale electronics manufacturing, including 10 for mobile phones

Duration: FY20-FY26

The offer: Incentive of 4-6% on incremental sales (over base year) of goods manufactured in India and covered under target segments for 5 years subsequent to the base year

TELECOM

Telecom and networking products

Outlay: ₹12,195 cr

Duration: FY22-FY26

The offer: Open for MSMEs, non-MSMEs, domestic and global companies. Eligibility: investment threshold of Rs 10 crore for MSMEs and Rs 100 crore for non-MSMEs, excluding land and building costs. Incentives ranging 4-7% are based on incremental sales of manufactured goods

FOOD PROCESSING

Food products

Outlay: ₹10,900 cr (Food processing)

Status: 149 applications approved

Duration: FY22-FY27

The offer: Incentives, after meeting minimum sales and investment targets, range 4-10%, depending on the product category

AUTO COMPONENTS

Automobiles and auto components, advance chemistry cell battery

Outlay: ₹25,938 cr

Status: 95 applicants approved

Duration: FY22-FY27

The offer: Incentive ranges 13-16% for Champion OEM and New Non Automotive OEM Investor company. Eligibility: Global investment of Rs 3,000 crore of an OEM company or its group firms in fixed assets

WHITE GOODS

AC & LED

Outlay: ₹6,238 cr

Duration: FY23-FY27

The offer: An incentive of 6-4% on reducing basis on incremental sales for a period of 5 years subsequent to the base year and 1 year of gestation period

RENEWABLE ENERGY

High-efficiency solar PV modules

Outlay: ₹24,000 cr (Renewable energy)